

large-caps. The good news is that the Indian fund management community now offers several high-quality small-cap and mid-cap funds (both in the mutual fund format and in the PMS format). More specifically, whilst the BSE 100 has compounded at 16.7 per cent per annum over the past eight years, the BSE Small-cap index has compounded at 21.4 per cent per annum over the same period. Therefore, investing in small-caps alongside such a fund manager can materially boost investors' long-term returns. We shall return to this point in the final chapter of the book.

The three key takeaways from this chapter

1. Over the past two decades, small-caps have outperformed large-caps in most large stock markets. There are two key drivers of this outperformance: smaller companies have the potential to grow their profits much faster than large companies and, secondly, as small companies grow in size they are 'discovered' by the stock market. That is to say, successful small-caps gradually attract more research coverage from brokerage analysts and thereafter attract more interest from institutional investors with deep pockets.
2. Ever since the NDA-led government launched its multi-pronged attack on black money in India (2015), affluent Indians have diverted savings away from real estate and towards the financial system. This deepening of the financial markets is helping reduce the cost of capital in India, which in turn benefits smaller businesses disproportionately (relative to large household names that dominate the stock market).
3. Whilst the scope for generating superior long-term investment returns is greater with small-caps, the need for professional help is disproportionately greater. This is because small companies are riskier than the larger ones due to both fundamental as well as non-fundamental reasons. The good news is that the Indian fund management community now offers several high-quality small-cap and mid-cap funds.